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For Microsoft, All Roads Lead to China



CHINA IS, WITHOUT any doubt, the only superpower who can seriously think of challenging US hegemony—politically, militarily, technologically, and even economically. Hence, it is only natural that Microsoft, the world's largest software company, has its second largest set up after its Redmond headquarters, in Mao's country.

Newsweek analyst Sarah Schafer wrote about how Bill Gates and his CEO Steve Ballmer are courting China for the company's next big foray.

Excerpts from the brilliant feature:

Microsoft's largest beachhead outside the United States is in the state most hostile to it: China. Since arriving in Beijing in 1990, the Gates empire has assembled a network of business operations, from research and development to sales and marketing to customer support, second only to its Redmond, Wash., hub. Bill Gates and CEO Steve Ballmer, whose minutes are managed as priceless commodities, regularly swoop into China for meetings, trying to find a way to make it in the elusive China market...

For Microsoft, the problem with doing business in China comes down mainly to one thing: piracy. Touts line the street outside a new \$80 million Microsoft research center in Beijing, steering customers through alleys to run-down apartments where bootleg copies of Microsoft Office and Word are peddled for about \$1, at least \$199 less than the global retail price. Ninety percent of Microsoft products used in China are pirated...

But in China the government has been sympathetic to the pirates, openly hostile to the Microsoft monopoly and officially embraced Linux. Cheap software has been critical to China's economic boom, and Beijing saw no upside to forcing citizens with an average annual income of \$1,000 to spend much of it on Windows.

The new Microsoft China strategy attempts to create a constituency for full-price software, starting with the political and business elite. This means improving customer support for big Chinese companies, helping Beijing develop a domestic software industry trained on and tied to Microsoft products, sharing more technology and easing up on buyers of pirated software (but not on pirates). In

September Microsoft made

Timothy Chen its new China CEO and the face of its softer strategy. Chen, a 10-year veteran of Motorola China, says he was drawn by a mandate from the top-Gates and Ballmer-to revamp the Microsoft operation. "They all wanted to see an integrated China strategy, a road map," says Chen. He has dropped "the threatening-letter approach" and focused on recruiting large corporations as paying customers: "If we do that, I think then the legal users will come."

Read the entire story at
<http://www.msnbc.msn.com/id/5239397/site/newsweek/>



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